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US Economic Update: August 31, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	26-Aug-26	25-Aug-26	18-Aug-26	14-Aug-26	13-Aug-26	12-Aug-26
	4.6	4.1	4.0	4.3	4.8	4.8

Inflation worries continue with PCE inflation at 3.7% in July

- Price pressures remain elevated in the United States with the personal consumption expenditures (PCE) price index rising by 0.2% in July. Prices had declined by 0.1% in June. Prices of durable goods rose 0.4% in July while nondurable goods prices fell 0.4%, primarily due to a 2.7% decline in energy prices. Prices of services rose 0.3%, aided by a surge in prices of financial services and insurance. Overall, steady growth in prices of durable goods—driven by tariffs and the AI buildout—and services will keep the Fed cautious. Compared to a year ago, overall PCE prices were up 3.7% in July (also called inflation). Core PCE inflation, which excludes food and energy, was 3.3% in July. Both inflation indicators are closely monitored by the Fed, and they remain much above the Fed's target of 2%.
- Real disposable personal income rose by 0.4% in July, slightly higher than the 0.3% increase in June. The uptick in growth in July reflects higher compensation, government social benefits, and personal income receipts on assets. Despite rising income, real consumer spending was flat in July, following a 0.4% increase in the previous month. The personal saving rate rose to 3% in July, although it remains low relative to levels a year back.
- Wariness about future economic prospects continues to weigh on consumer confidence. The Conference Board's measure of consumer confidence fell slightly in August due to consumers' concerns about future business and labor market conditions. And inflation too is a worry, especially for low- and medium-income households: The University of Michigan consumer sentiment index, which focusses more on inflation than the Conference Board measure, fell to 51.7 in August.
- Worries about inflation found their way into Fed Chair Kevin Warsh's much-anticipated speech at the Jackson Hole Economic Symposium. While Warsh indicated that the economy remains resilient, aided by AI-driven investment, he noted the lack of improvement in underlying inflationary pressure in the economy. PCE inflation, for example, has been above the Fed's target since February 2021. In response to his comments, financial markets' expectations of a rate hike this year have gone up.
- Corporate profits surged by 41.5% in Q2 2026, up from a 7% increase in the previous quarter. Strong private final demand and tariff refunds following the reversal of earlier duties aided corporate profits in the second quarter of the year.

Figure 1. Headline PCE inflation (3.7% in July) and core PCE inflation (3.3%) continue to remain above the Fed's 2% target

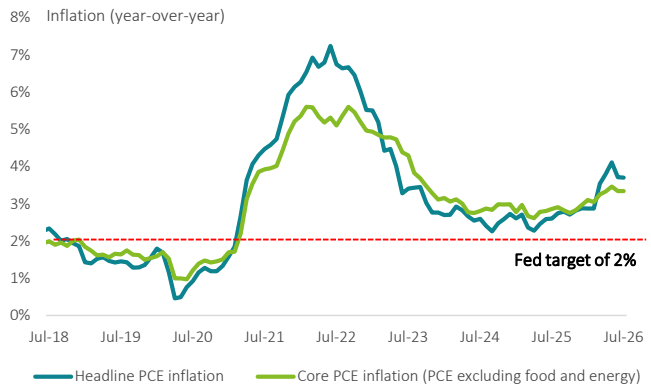
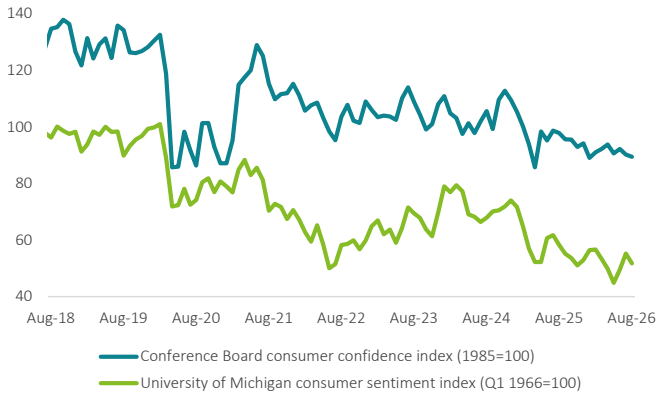


Figure 2. Consumer sentiment fell in August over worries about high inflation and future labor market conditions



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jul change	3-month avg ch	12-month avg ch	Trend
-23,000	20,000	26,000	

Unemployment rate

Jul value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	-0.1	-0.2	

Real disposable personal income

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	0.5	

Real personal consumer expenditure

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.8	2.1	

Nominal retail sales

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.6	0.6	5.0	

Conference Board consumer confidence index

Aug value	1-month ch	3-month ch	Trend
89.4	-0.8	-1.2	

Housing permits

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
4.3	0.7	2.4	

Manufacturing industrial production

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.4	1.2	

Shipments of core capital goods

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.4	3.9	10.6	

Trade balance

Jun value (US$ billion)	1-month ch	3-month ch	Trend
-73.3	4.4	-16.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
41.5	7.0	22.8	

Financial markets

Equity markets

S&P 500 on Aug 28	1-week ch (%)	1-year ch (%)	Trend
7711.8	0.5	19.4	

Treasury yield spread (10 yr - 2 yr)

Spread on Aug 28	1-month ch(ppts)	3-month ch(ppts)	Trend
0.39	0.04	-0.1	

CBOE volatility index (VIX)

VIX on Aug 28	1-week ch	4-week ch	Trend
14.4	-0.7	-2.7	

Kansas City Fed financial stress index (KCFSI)

Jul index	1-month ch	3-month ch	Trend
-0.9	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.1	3.4	

Core CPI (CPI excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.4	2.5	

Core PCE (PCE price index excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.